

**Superior Court of the State of California
County of Orange**

DEPT C25 TENTATIVE RULINGS

The Honorable Nico A. Dourbetas

Civil Court Reporters: The Court does not provide court reporters for law and motion hearings. Please see the Court's website for rules and procedures for court reporters obtained by the Parties.

Tentative Rulings: The Court will endeavor to post tentative rulings on the Court's website by 2 p.m. on Thursday. Do NOT call the Department for a tentative ruling if none is posted. **The Court will NOT entertain a request for continuance or the filing of further documents once a tentative ruling has been posted.**

Submitting on the Tentative Ruling: If ALL counsel intend to submit on the tentative ruling and do not wish oral argument, please advise the Court's clerk or courtroom attendant by calling (657) 622-5225. If all sides submit on the tentative ruling and so advise the Court, the tentative ruling shall become the Court's final ruling and the prevailing party shall give Notice of Ruling and prepare an Order for the Court's signature if appropriate under CRC 3.1312. **Please do not call the Department unless ALL parties submit on the tentative ruling.**

Non-Appearances: If no one appears for the hearing and the Court has not been notified that all parties submit on the tentative ruling, the Court shall determine whether the matter is taken off calendar or whether the tentative ruling shall become the final ruling.

Appearances: Counsel may appear by video on Zoom.

1. Visit www.occourts.org
2. Under Quick Links, click on "Civil Online Check-in/Zoom Pilot Program"

Date: September 15, 2023

1	Aguilar vs. Resource Employment Solutions California 2022-01298430	1. Motion to Compel Arbitration 2. Motion to Compel Arbitration 3. Case Management Conference Motion No. 1 Defendant Houdini, Inc.'s Motion to Compel Arbitration and Stay Action is GRANTED. The Dispute Arbitration Agreement between the parties expressly states, in ¶7, that it "shall be governed by the FAA (9 U.S.C. § 1 et. seq. The FAA provides that a

		"written provision in any . . . contract evidencing a transaction involving commerce to settle by arbitration a controversy thereafter arising out of such contract or transaction, the refusal to perform the whole or any part thereof . . . shall be valid, irrevocable and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract." (9 U.S.C. § 2.) "The 'principal purpose' of the FAA is to 'ensur[e] that private arbitration agreements are enforced according to their terms.'" (Lacayo v. Catalina Restaurant Group Inc. (2019) 38 Cal.App.5th 244, 257 [citing I(2011) 563 U.S. 333, 344].) The party seeking to compel arbitration "has the burden of proving the existence of a valid agreement to arbitrate." "Once that burden is satisfied, the party opposing arbitration must prove by a preponderance of the evidence any defense to the petition." (Ibid.) There is no dispute that plaintiff signed the Dispute Resolution Agreement, which is a stand-alone arbitration Agreement. Written arbitration agreement has been shown. The finding that a written agreement between the parties exists is not the end of the matter, however. Plaintiff says the arbitration agreement is not enforceable for three reasons. First, plaintiff argues that the Ending Forced Arbitration Act, 9 U.S.C.A. 402(a) prevents enforcement of the arbitration agreement. The Court concludes this is not correct. The Act became effective on March 3, 2022. According to the Complaint and its attachments, including her charge to the Department of Fair Employment and Housing, the act of discrimination happened on 02/22/22. This is the date her cause of action accrued. Although she argues that her cause of action did not accrue until she received her right-to-sue letter from the DFEH, no authority is cited for this proposition. It appears to the Court that none can be because a right-to-sue is a jurisdictional prerequisite to a lawsuit. [Johnson v. City of Loma Linda (2000) 24 C4th 61, 70 (internal quotes omitted); Campbell v. Regents of Univ. of Calif. (2005) 35 C4th 311] Issuance of a right to sue letter has no effect on the accrual of the underlying causes of action. Plaintiff's cause of action accrued before the EFAA became effective. Next plaintiff asserts that Labor Code §432.6 prevents enforcement of the agreement. This is not correct.
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		Implementation of the statute has been blocked by the 9th Circuit Court of Appeal on the ground of FAA preemption. [Chamber of Commerce of the United States of America v. Bonta (2023) 62 F. 4th 473, 490] Finally, plaintiff contends that the contract is unenforceable because it is unconscionable. The Court concludes that, at most, an adhesion contract shows, at the most, moderate procedural unconscionability. Plaintiff has not identified any substantive unconscionability in the arbitration agreement. She has failed to meet her burden of proving by a preponderance of the evidence that the agreement is both procedurally and substantively unconscionable, as she must. [Armendariz v. Foundation Health Psychcare Services, Inc. (2000) 24 Cal.4th 83, 114] The Court OVERRULES defendant Houdini, Inc.'s objections 1-8 to the Declaration of plaintiff Aguilar in Opposition. The Court SUSTAINS defendant Houdini, Inc.'s objections 1-5 to the Declaration of Troy Candiotti in Opposition This action is stayed pending arbitration under CCP §1281.4. Motion No. 2 Defendants, Resource Employment Solutions II California, LLC and Peoplease ,LLC to Compel Arbitration and Stay Action is GRANTED. The Dispute Resolution and Arbitration Agreement between the parties expressly states, that any dispute "shall be submitted and determined by binding arbitration under the Federal Arbitration Act ("FAA")." The FAA provides that a "written provision in any . . . contract evidencing a transaction involving commerce to settle by arbitration a controversy thereafter arising out of such contract or transaction, the refusal to perform the whole or any part thereof . . . shall be valid, irrevocable and enforceable, save upon such grounds as exist at law or in equity for the revocation
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		of any contract.” (9 U.S.C. § 2.) “The ‘principal purpose’ of the FAA is to ‘ensur[e] that private arbitration agreements are enforced according to their terms.’” (Lacayo v. Catalina Restaurant Group Inc. (2019) 38 Cal.App.5th 244, 257 [citing I(2011) 563 U.S. 333, 344].) The party seeking to compel arbitration “has the burden of proving the existence of a valid agreement to arbitrate.” “Once that burden is satisfied, the party opposing arbitration must prove by a preponderance of the evidence any defense to the petition.” (Ibid.) There is no dispute that plaintiff signed the Dispute Resolution and Arbitration Agreement, which was clearly stated to be an arbitration agreement. A written arbitration agreement has been shown. The finding that a written agreement between the parties exists is not the end of the matter, however. Plaintiff says the arbitration agreement is not enforceable for four reasons. First, plaintiff argues that the Ending Forced Arbitration Act, 9 U.S.C.A. 402(a) prevents enforcement of the arbitration agreement. The Court concludes this is not correct. The Act became effective on March 3, 2022. According to the Complaint and its attachments, including her charge to the Department of Fair Employment and Housing, the act of discrimination happened on 02/22/22. This is the date her cause of action accrued. Although she argues that her cause of action did not accrue until she received her right-to-sue letter from the DFEH, no authority is cited for this proposition. It appears to the Court that none can be because a right-to-sue is a jurisdictional prerequisite to a lawsuit. [Johnson v. City of Loma Linda (2000) 24 C4th 61, 70 (internal quotes omitted); Campbell v. Regents of Univ. of Calif. (2005) 35 C4th 311] Issuance of a right to sue letter has no effect on the accrual of the underlying causes of action. Plaintiff’s cause of action accrued before the EFAA became effective. Next plaintiff asserts that Labor Code §432.6 prevents enforcement of the agreement. This is not correct. Implementation of the statute has been blocked by the 9th Circuit Court of Appeal on the ground of FAA preemption. [Chamber of Commerce of the United States of America v. Bonta (2023) 62 F. 4th 473, 490]
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		Next, plaintiff argues neither Resources nor Peoplease were parties to the arbitration agreement. This is not correct. The first sentence of the Agreement says “I, and my work site employer, and PLC agree” to binding arbitration for disputes about Aguilar’s employment. Whether or not Resources/ Peoplease were her employers, they were agents of Houdini for certain aspects of her employment and she agreed to arbitration with them. Indeed, plaintiff has admitted her employment relationship with Resources/Peoplease by alleging that they were joint employers with Houdini. [Complaint, ¶4] Next, plaintiff argues that the agreement to use the Federal Rules of Civil Procedure does not allow for adequate discovery. Plaintiff has cited no case saying that the Federal Rules of Civil Procedure do not assure adequate discovery under California law. Finally, plaintiff contends that the contract is unenforceable because it is unconscionable. The Court concludes that, at most, an adhesion contract shows, at the most, moderate procedural unconscionability. Other than her argument about the use of the Federal Rules of Civil Procedure, plaintiff has not identified any substantive unconscionability in the arbitration agreement. She has failed to meet her burden of proving by a preponderance of the evidence that the agreement is both procedurally and substantively unconscionable, as she must. . [Armendariz v. Foundation Health Psychcare Services, Inc. (2000) 24 Cal.4th 83, 114] This action is stayed pending arbitration under CCP §1281.4. ***CMC is vacated. ADR review is set for October 14, 2024 at 9 AM. Defendant Houdini shall give notice of all the above.
2	Commercewest Bank vs. Escondido Collision Center, Inc. 2022-01275698	1. Motion to Compel Answers to Form Interrogatories 2. Motion to Compel Answers to Special Interrogatories 3. Motion to Compel Production 4. Motion to Compel Response to Requests for Admissions